GC CASHFLOW QUESTION – 'Gowrie'

It is June X5. You are an audit manager working on the audit of Gowrie Foods ltd (Gowrie), a family-owned Scottish food processor. The client year end was 31 March X5, and the audit report is due to be signed by 30 June X5. The audit fieldwork is complete, and you are reviewing Gowrie's cashflow forecasts and related management commentary—discussed by the finance director, William Gowrie, with the audit partner at their recent meeting—to support the assumption that the company will continue as a going concern.

Gowrie has been established for many decades and has established a strong brand both in the UK and overseas. This allowed it to develop a thriving visitor centre around one of their main operational sites, in Perthshire, Scotland called 'Gowrie Village' (GV). This attraction has shops and cafés, showcasing Gowrie products, and is particularly popular with tourists in the summer months. Gowrie makes further direct sales through its website, and also a well-established wholesale trade.

Your audit partner has asked you to analyse Gowrie's cashflow forecasts and to evaluate the reasonableness of the assumptions that Gowrie's management team has used when preparing these forecasts. As part of your review, you have also been asked to advise on further specific audit evidence to ensure appropriate assurance over any specific concerns you have identified relating to management's going concern assumption.

William has provided Gowrie's quarterly cashflow projections covering the period from 1 April X5 to 30 June X6, which were prepared in early April X5. He has also provided full-year actual cashflows for the year ended 31 March X5. Your audit partner has asked you to use this information, shown in Appendix 1, in your evaluation.

Your audit partner has already highlighted to William that it would be more appropriate to have a monthly cashflow forecast. The partner has also asked the firm's tax team to separately assess the accuracy and timing of the projected VAT cashflows. Another audit team member has been asked to draft general going concern procedures based on the relevant auditing standard. These issues do <u>not</u> need to be raised in your analysis.

Additionally, your audit partner has passed onto you the management commentary regarding the underlying assumptions used as inputs in the development of the forecast (Appendix 2), which you should also use for your analysis.

Questions:

1. Analyse the cashflow forecasts provided in Appendix 1 and evaluate the reasonableness of the assumptions and information given in Appendix 2 **(24 marks)**.

2. Explain the further specific audit evidence required to ensure appropriate assurance over any specific concerns you have identified in Question 1, relating to management's going concern assumption **(16 marks)**. *[No marks available for general going concern procedures.]*

Appendix 1 – Cash flow forecast

£m	Actual Year end 31 March X5	Forecast Q1 - to 30 Jun X5	Forecast Q2 - to 30 Sep X5	Forecast Q3 - to 31 Dec X5	Forecast Q4 - to 31 Mar X6	Forecast Q1 - to 30 June X6
Cash Inflows						
Cash from customers - wholesale	123.3	38.5	38.5	41.6	41.6	41.6
Cash from customers – GV	58.9	15.3	15.9	16.6	17.2	17.9
Cash from customers - website	33.0	8.6	8.9	9.3	9.7	10.0
Subtotal - cash from customers	*215.2*	*62.4*	*63.3*	*67.5*	*68.5*	*69.5*
New term loan			12.0	12.0	12.0	
Disposal of unused land				10.0		
Total Inflows	**215.2**	**62.4**	**75.3**	**89.5**	**80.5**	**69.5**
Cash Outflows						
Direct materials	(81.8)	(23.7)	(24.1)	(25.6)	(26.0)	(26.4)
Payroll	(48.1)	(12.0)	(12.7)	(12.7)	(12.7)	(12.7)
Overheads (marketing, maintenance and distribution costs)	(38.9)	(9.8)	(9.9)	(10.0)	(10.1)	(10.2)
VAT	(21.0)	(8.3)	(8.8)	(9.0)	(9.2)	(9.5)
Investment in GV			(17.0)	(17.0)	(17.0)	
Interest	(6.0)	(1.5)	(1.4)	(1.3)	(1.2)	(1.1)
Dividends	(10.0)		(10.0)			
Total outflows	**(205.8)**	**(55.3)**	**(83.9)**	**(75.6)**	**(76.2)**	**(59.9)**
Total net cash inflows/(outflows)	**9.4**	**7.1**	**(8.6)**	**13.9**	**4.3**	**9.6**

Appendix 2: Management commentary on underlying assumptions provided by William Gowrie, Gowrie's finance director

1. Gowrie continues to perform very well, and we have no doubts at all about going concern. Our largest sales category is wholesale. We are very excited about a new contract to supply a major European supermarket chain, which began on 1 April X5. We are expecting this to increase wholesale income by 25%. We continue to experience cost pressures and will have to pass these costs on to our customers – we plan to increase all wholesale prices by 8% from the start of Q3. We only offer limited credit to wholesale customers, so prompt cash collection can be assumed.

2. Direct sales, through GV and the website, are also doing well. We have applied a flat 4% per quarter uplift per quarter in our forecast. This reflects our conservative projections of both unit sales growth and price increases across our product range.

3. GV continues to be a roaring success, but it is sometimes overcrowded, especially in the peak summer months. As a result, we are about to invest heavily in expanding this flagship attraction. Our architects are finalising their plans, but their current best guess is that this expansion will cost around £51m. We plan to complete the building work to allow for a full launch of the new facilities in July X6, so I've assumed that phased payments to the contactors will be spread evenly over the Q2-Q4 period. The building work will be on a neighbouring plot of land and will not disrupt the existing GV trade.

4. To help finance this expansion, we have just finalised a new term loan facility with our bankers. We expect to borrow £36m for five years at 8% interest, with the principal settled at maturity. To match cashflows to the building project, the plan is to draw down cash from the loan facility steadily throughout Q2-Q4.

5. We are also planning to sell some land owned by Gowrie to help to finance our growth plans. It's a small plot of land hosting the ageing remains of our very first factory – I'm assuming we'll get about £10m, sometime in Q4.

6. For direct materials I've forecast that these will amount to 38% of cash from customers, the same as last year. Not a coincidence – this ratio is built into our pricing policy [*audit file note – this ratio is stated in the relevant policy document*].

7. Our staff will be able to share in the success of the Gowrie brand with a general 6% pay rise – this will take effect from 1 July X5.

8. We pride ourselves on our tight control of overheads and I'm just assuming a 1% inflationary uplift per quarter on this line.

9. Our treasury team monitors expectations for future interest rates as our overdraft interest is tied to our bank's base lending rate. There are strong market expectations that interest rates will fall over coming quarters, and we've built this into our forecast.

10. Even with all the investment in GV we still plan to pay the same dividend as last year - we are a reliably profitable company after all! This will be paid on 30 July X5.